Alibaba Group

BABA (NYSE ADS) / 9988 (Hong Kong ordinary) | Full deep dive | 30 September 2026

Commerce funds the AI transition

A large distribution platform with accelerating cloud monetization and substantial funding demands. AI demand is growing much faster than Chinese consumer spending; the investment case depends on Alibaba capturing that demand while turning commerce growth into sustainable profit.

Framework output	Current model
Analytical Base	63/100 = 38/60, rounded
Classification	BENEFICIARY / Fail band (below 65 threshold)
Active ceiling: Q3 2027	US$ 201.04 per ADS
Active earnings window	Q3 2027 - Q2 2028
Valuation basis	20x forward-four-quarter normalized operating profit; SBC, ordinary depreciation and acquired amortization retained
Financial units	RMB millions; ADS shares in millions; one ADS = eight ordinary shares
FX convention	6.7351 RMB per USD, September 30 official central parity
Snapshot context only	US$ 108.10/ADS; quoted market capitalization approximately US$ 268.7bn
Data / valuation horizons	Latest reported quarter: June 2026. Eighteen modeled operating quarters and fifteen exact forward-four-quarter ceilings.

Snapshot price was retrieved September 30 at 14:40 EDT. Market capitalization and the forward diluted share denominator have different timing and accounting bases; they are not interchangeable. Price-dependent rankings and ratios live in the workbook. [S19]

The underwriting question

Can externally paid cloud and AI growth, improving commerce efficiency and better application monetization outrun infrastructure investment, component costs, marketing and dilution? The active case includes favorable and adverse breadcrumbs once. It does not assume every management ambition is achieved.

Confidence is greatest over the next 12-16 months and declines materially beyond that window. Later-quarter outputs are a structured set of assumptions, not precise forecasts.

What Alibaba sells, and where value sits

A commerce cash engine financing a full-stack AI build

Alibaba earns merchant advertising and commission fees, sells goods directly, fulfills rapid local orders, operates international marketplaces and wholesale platforms, and provides cloud and AI services. Revenue recognition differs across these activities. A yuan of marketplace fees is economically different from a yuan of direct merchandise sales or resold infrastructure.

Economic layer	Customer payment	What determines profit
China marketplace	Merchant marketing, commissions and services	Traffic quality, merchant ROI, take rate and retention spending
Retail and quick commerce	Merchandise and delivery-related revenue	Product mix, order value, procurement, fulfillment and subsidies
International / wholesale	Transaction, merchant and other services	Cross-border policy, acquisition cost, logistics and merchant tools
AI Cloud and Compute Services	Infrastructure, inference and cloud software	Available capacity, utilization, realized pricing and own-chip mix
AI Labs and Applications	Model/application and consumer offerings	Paid adoption against model training, inference and distribution costs

June reporting structure is the starting point

The new segments combine domestic and international commerce, place T-Head beside Cloud in AI Cloud and Compute Services, and separately report AI Labs and Applications. Freshippo and on-demand businesses move into quick commerce. Older segment totals cannot be spliced into this structure without an explicit recast. The June release provides a comparable June 2025 recast; it does not publish every historical quarter under the new structure.

Avoid counting the same transaction twice

Marketplace GMV is not Alibaba revenue. Cloud AI products and MaaS are nested within cloud services; internal chip and compute transactions are eliminated on consolidation. The ten-vector model includes unallocated items and eliminations so product detail returns to reported consolidated revenue. AI adoption can improve several layers of the business, but its economic effects need distinct recognition paths. [S1-S3]

The latest two calls: acceleration and cost

Issuer transcripts | May 13 and August 20, 2026

Signal	March quarter / May call	June quarter / August call
External cloud growth	40% year over year	45%; further acceleration expected
AI product mix / run rate	30% / RMB 35.8bn annualized	35% / RMB 49.5bn annualized
Model / application ARR	>RMB 10bn June target; >RMB 30bn year-end	>RMB 16bn as of August; year-end target reaffirmed
Cloud profitability	9.1% adjusted EBITA margin	11.6% cloud margin; about 12% new combined segment
Quick-commerce milestones	Positive unit economics by end-FY27	Overall business profitability expected FY29
Commerce revenue quality	CMR +8% excluding program presentation	CMR +1% excluding program; reported CMR -7%
AI investment economics	Hardware replacement costs >2x two years earlier	Three-year capex payback claim; eventual 2.5-year goal
Funding / spending	Growth and share take priority over margin	RMB 67.7bn capex; procurement timing is lumpy

Reported outcomes and management forecasts are separate. ARR is a point-in-time revenue annualization; it is not contracted cash, GAAP earnings or a guaranteed twelve-month result. Positive unit economics excludes some costs required for full-business profitability. [S2,S4]

What supports the thesis

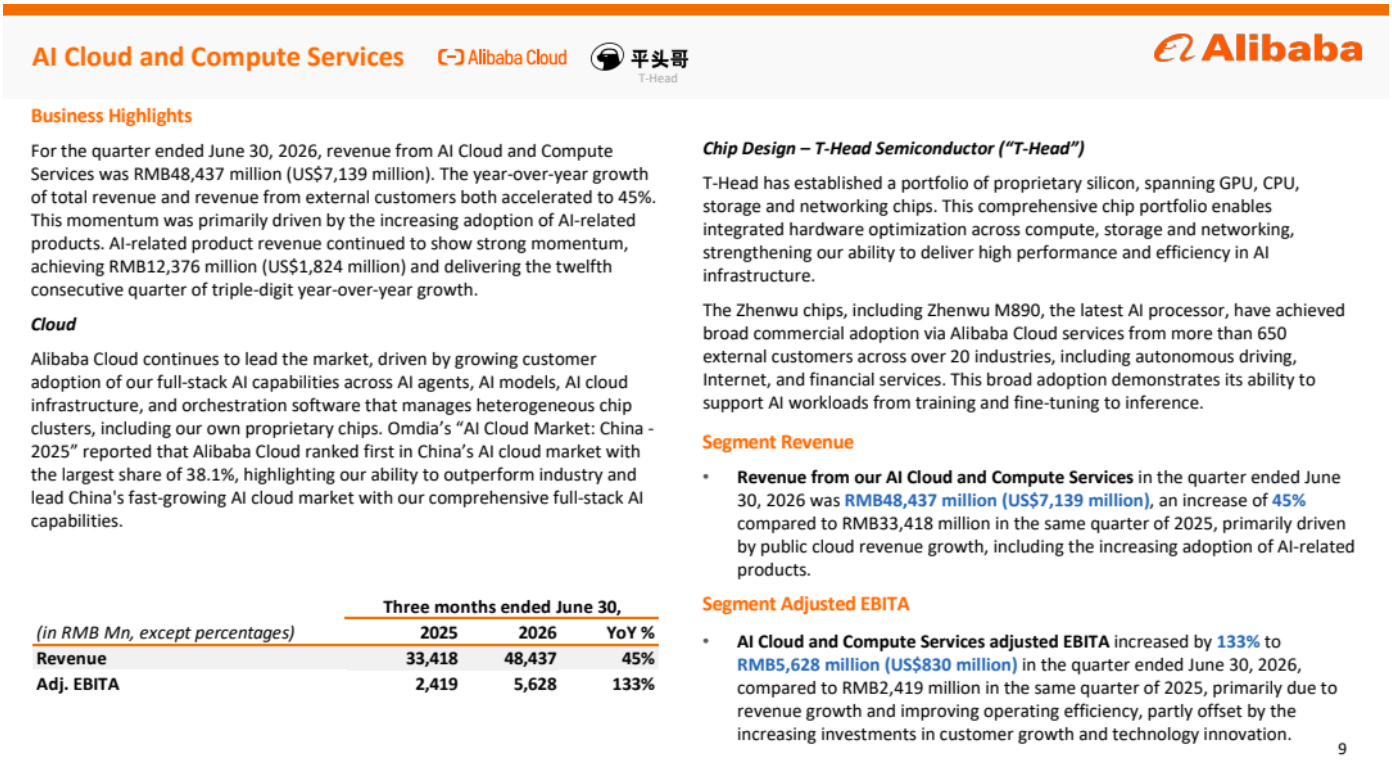
Cloud growth and profit expanded together while the AI mix rose. Management describes repricing new and renewed contracts, large-model demand extending into CPUs and storage, and commercial deployment of its own chips. These observations support a company-specific path from demand to revenue and gross profit.

What constrains the inference

Infrastructure must be funded before revenue arrives. Merchant subsidies can move between revenue and expense presentation, while Labs losses remain substantial. This model retains recurring AI and commerce costs; it does not treat them as one-time investment add-backs.

Cloud economics: a measurable inflection

Reported evidence belongs beside the modeled opportunity



AI Cloud and Compute Services — Alibaba Cloud — 平头哥 T-Head — Alibaba

Business Highlights

For the quarter ended June 30, 2026, revenue from AI Cloud and Compute Services was RMB48,437 million (US$7,139 million). The year-over-year growth of total revenue and revenue from external customers both accelerated to 45%. This momentum was primarily driven by the increasing adoption of AI-related products. AI-related product revenue continued to show strong momentum, achieving RMB12,376 million (US$1,824 million) and delivering the twelfth consecutive quarter of triple-digit year-over-year growth.

Cloud

Alibaba Cloud continues to lead the market, driven by growing customer adoption of our full-stack AI capabilities across AI agents, AI models, AI cloud infrastructure, and orchestration software that manages heterogeneous chip clusters, including our own proprietary chips. Omdia's "AI Cloud Market: China - 2025" reported that Alibaba Cloud ranked first in China's AI cloud market with the largest share of 38.1%, highlighting our ability to outperform industry and lead China's fast-growing AI cloud market with our comprehensive full-stack AI capabilities.

	Three months ended June 30,		
(in RMB Mn, except percentages)	2025	2026	YoY %
Revenue	33,418	48,437	45%
Adj. EBITA	2,419	5,628	133%

Chip Design – T-Head Semiconductor ("T-Head")

T-Head has established a portfolio of proprietary silicon, spanning GPU, CPU, storage and networking chips. This comprehensive chip portfolio enables integrated hardware optimization across compute, storage and networking, strengthening our ability to deliver high performance and efficiency in AI infrastructure.

The Zhenwu chips, including Zhenwu M890, the latest AI processor, have achieved broad commercial adoption via Alibaba Cloud services from more than 650 external customers across over 20 industries, including autonomous driving, Internet, and financial services. This broad adoption demonstrates its ability to support AI workloads from training and fine-tuning to inference.

Segment Revenue

- **Revenue from our AI Cloud and Compute Services** in the quarter ended June 30, 2026 was **RMB48,437 million (US$7,139 million)**, an increase of **45%** compared to RMB33,418 million in the same quarter of 2025, primarily driven by public cloud revenue growth, including the increasing adoption of AI-related products.

Segment Adjusted EBITA

- **AI Cloud and Compute Services adjusted EBITA** increased by **133%** to **RMB5,628 million (US$830 million)** in the quarter ended June 30, 2026, compared to RMB2,419 million in the same quarter of 2025, primarily due to revenue growth and improving operating efficiency, partly offset by the increasing investments in customer growth and technology innovation.

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Issuer exhibit 1. Alibaba June-quarter 2026 presentation, actual PDF page 11 (printed 9), August 20. The figures refer to the new AI Cloud and Compute Services segment. [S3]

June quarter, RMB m	2025 recast	2026	Change
Cloud and compute revenue	33,418	48,437	45%
Segment adjusted EBITA	2,419	5,628	133%
Adjusted EBITA margin	7.2%	11.6%	About 4.4 percentage points
AI products / external cloud	Not stated here	35%	Nested, not an extra segment

The company cites Omdia for a 38.1% share of China's AI-cloud market in 2025. That is a dated, narrowly defined market share. It is not Alibaba's share of all global cloud spending and cannot be applied to a different TAM denominator. [S1,S3]

Why a free model can still generate paid demand

Customers pay for inference, deployment, reliability, storage and orchestration. Hosting third-party open models can expand the platform even where Alibaba does not collect a model-license fee. Management says proprietary and hosted open-weight models have comparable MaaS gross margins; this is a claim about inference services, not proof that foundation-model R&D earns the same return. [S2 pp 17-18]

Actual results and the profit basis

Reported consolidated history | Historical figures are not the forward model

Quarter ended	Revenue	Gross profit	GAAP OP	Adj. EBITA	Free cash flow
2025-06-30	247,652	111,223	34,988	38,844	-18,815
2025-09-30	247,795	97,014	5,365	9,073	-21,840
2025-12-31	284,843	115,309	10,645	23,397	11,346
2026-03-31	243,380	83,988	-848	5,102	-17,300
2026-06-30	268,953	102,857	15,161	27,329	-44,670

RMB millions. June 2026 introduced new segments, with June 2025 recast for comparison. Consolidated historical amounts remain valid; older segment categories are not assumed comparable to the new product vectors. Free cash flow follows the issuer definition. [S1,S6,S13-S15]

June 2026 normalization preserves recurring costs

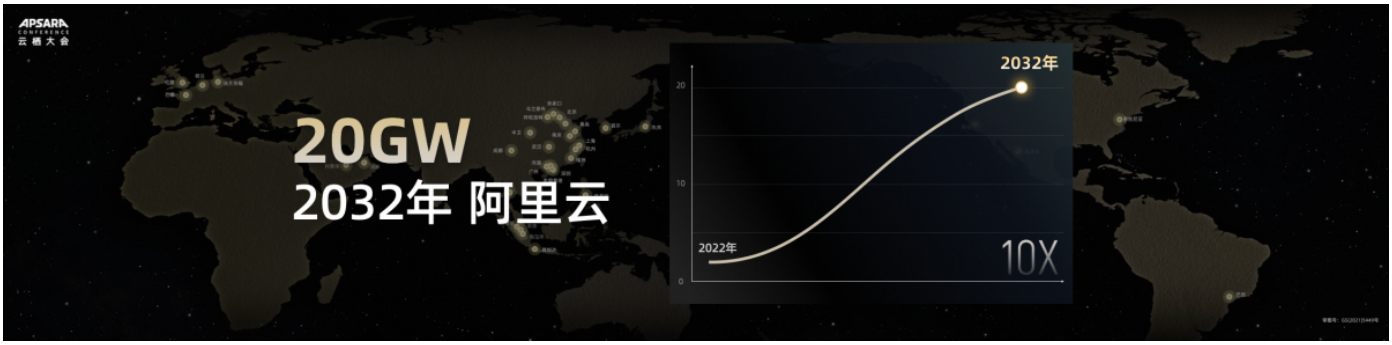
Bridge	RMBm	Treatment
Reported GAAP operating income	15,161	Issuer US GAAP reporting basis
Goodwill impairment	4,458	Part of issuer exceptional reconciliation
Net other exceptional items	4,083	Residual of the exact issuer aggregate; not identified as the standalone fine
Normalized operating profit	23,702	15,161 + 8,541
Issuer adjusted EBITA	27,329	Alternative reconciliation starting point
Less non-cash SBC	(2,962)	Retained as an economic cost
Less acquired amortization	(665)	Retained; ordinary depreciation also remains expensed
Normalized operating profit	23,702	27,329 - 2,962 - 665

The release names a EUR 550m EU Digital Services Act fine, but does not isolate its exact RMB amount within the net adjustment. Allocating RMB 4,083m to the G&A normalization is a functional model proxy. The issuer's RMB 8,541m exceptional aggregate is exact. June exceptional items are not projected to recur; normal R&D, marketing, SBC and depreciation remain expensed. [S1]

June operating cash flow was RMB 22.945bn and free cash flow was negative RMB 44.670bn. Management cautions against annualizing the quarter's RMB 67.7bn capital expenditure because procurement is uneven. A short payback claim does not establish free cash flow or GAAP earnings. [S1,S2]

TAM and China Data Packet

Separate demand context, company capture and physical supply



Issuer exhibit 2. Eddie Wu's Apsara keynote, September 22; official publication September 23. The >20 GW target is for 2032 operated capacity; the curve is an issuer roadmap, not our quarterly forecast. [S7]

Evidence layer	Dated observation / ambition	Model use and scope
Management demand/capture	US$ 100bn external cloud revenue by CY2030	Company aspiration, not global cloud TAM
Physical capacity	More than 20 GW operated data centers by 2032	Supports execution hypothesis; owned/leased mix and commissioning path unknown
China consumption: NBS	Jan-Aug online goods +4.3%; goods/services +4.6%	Macro context only; no automatic Alibaba share gain
China retail: NBS	Jan-Aug total retail +1.1%; August +0.4%	Consumption remains much weaker than AI demand
International distribution	107 availability zones / 31 regions in September	New regions planned; named facilities are not revenue commitments

China-source ladder: issuer/exchange disclosures anchor company capture; NBS supplies official macro context; attributable local evidence can alter an explicit probability. NBS expanded service coverage, so old and new online-retail levels are not directly comparable. No dated 2024 cloud forecast is presented as a current 2026 TAM. [S7,S8,S11]

The capacity roadmap, cloud revenue goal, AI annualization and MaaS ARR describe related parts of one opportunity. They are not summed. A direct 20 GW-to-revenue conversion was rejected because energized IT load, utilization, leased share, timing and revenue per GW are missing. The cloud goal receives an explicit operating bridge in the probability ledger instead.

Moat, constraints and the Ford phases

Full-stack advantage does not eliminate a capital cycle



Issuer exhibit 3. Apsara September 2026 proprietary silicon portfolio. Performance leadership is management's claim, not an independent benchmark. [S7,S8]

T-Head spans GPU, CPU, networking and storage-related chips. The V900 is scheduled for mass production and commercial release in Q1 2027. Alibaba claims 3x M890 performance, 216GB GPU memory and large-scale interconnect capability. A 500,000-card cluster limit describes architecture, not contracted or delivered orders. [S8]

Framework phase	Application to Alibaba	Confidence boundary
Phase 1: existing demand / 100%	Recognized commerce, infrastructure and current AI services	Anchor actuals; not probability certainty of every future order
Phase 2: new use cases / 50%	Enterprise agents and wider cloud attach	Explicit adoption/price/capacity probabilities belong in the ledger
Phase 3: induced markets / 20%	Persistent agents and future outcome-based AI services	Long-range optionality; no second blanket probability multiplier

Alibaba's distribution, deployment stack and own silicon can reduce reliance on expensive merchant chips. Domestic manufacturing capacity, power efficiency, memory supply and software portability remain constraints. Broad developer adoption supports distribution, but switching to another hosted model or infrastructure platform remains possible.

The Ford phases explain market creation. They are not additional discount factors applied on top of each modeled breadcrumb. Base likewise measures thesis quality and is not multiplied into revenue or ceiling value.

Commerce: recovery needs cost discipline

Revenue presentation, market growth and competitive spending

Taobao/Tmall's moat comes from assortment, merchant relationships, transaction traffic and fulfillment integration. Quick commerce seeks more frequent engagement and broader physical-goods spending. The same activity can improve retention while consuming near-term cash; order growth alone does not establish profit.

Question	Current evidence	Operating implication
Is CMR demand collapsing?	Reported June CMR -7%, but +1% excluding new contra-revenue program	Keep the new net presentation; do not add revenue back while also lowering marketing expense
Does quick commerce pay?	June revenue +45%; AOV and logistics UE improved	Forecast the complete cost base, not only delivery-level contribution
When is break-even expected?	Positive UE by end-FY27; full profit expected FY29	Do not bring full-profit guidance forward by substituting the UE date
How large can the opportunity be?	Long-run ambition: 30% of platform GMV; non-food volume above food in FY28	No stated take rate or timing for 30%; not a direct revenue addition
Are competitors retreating?	JD Q2 marketing -24.8%, fulfillment +10.4%, new-business loss RMB 9.854bn	Less promotional spending supports recovery; ongoing delivery investment prevents assuming permanent peace

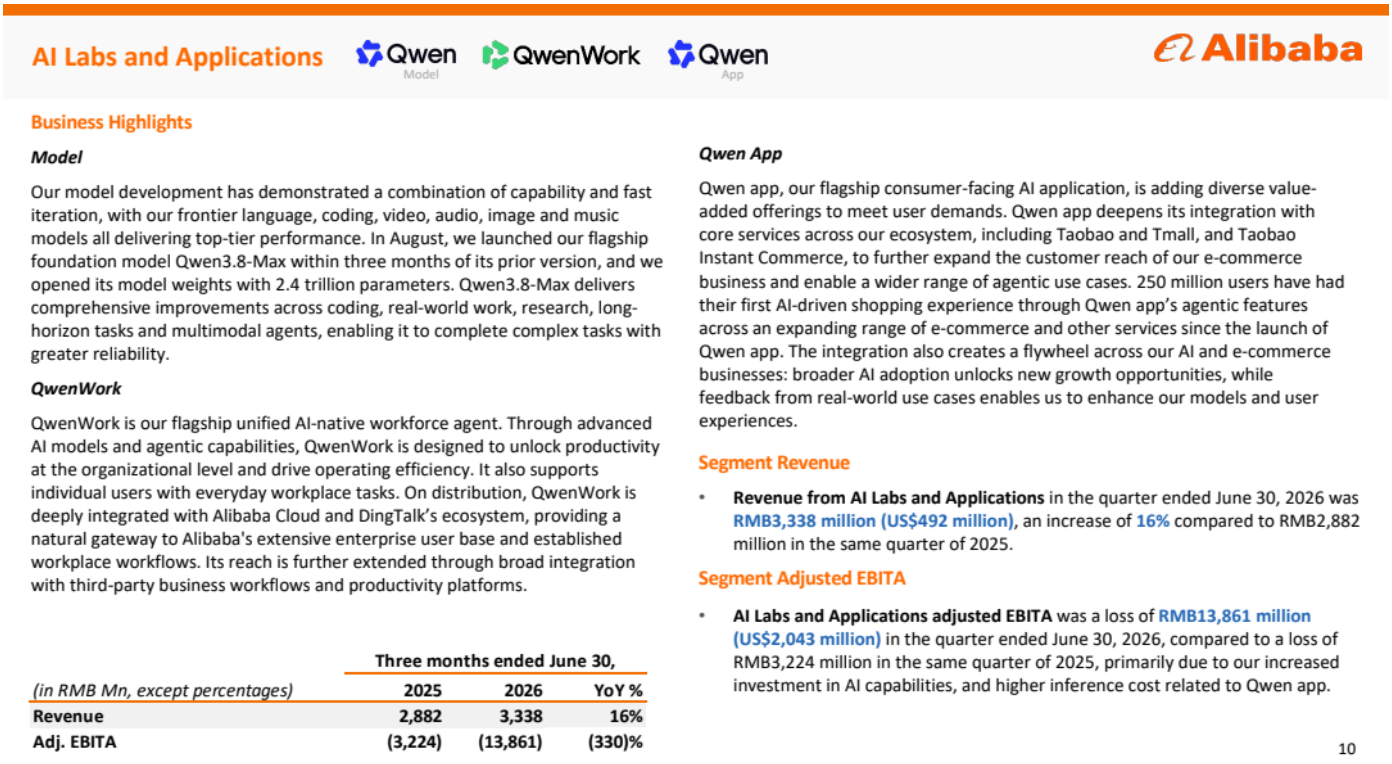
Platform capture versus macro demand

Official Chinese consumption growth remains subdued. Alibaba can still grow revenue through monetization, category mix and share, but each requires a separate assumption. JD, PDD, Douyin and Meituan compete through different combinations of value, discovery and delivery. International trade restrictions can offset improving AliExpress logistics and operating efficiency. [S2,S10,S11]

Profit recovery is tested against both revenue quality and spending. A subsidy reclassification is accounting presentation; lower fulfillment cost per order is an operating improvement. The model does not treat these as interchangeable.

AI applications need an economic bridge

Consumer adoption, enterprise monetization and continuing expense



AI Labs and Applications

Qwen Model QwenWork Qwen App

Alibaba

Business Highlights

Model

Our model development has demonstrated a combination of capability and fast iteration, with our frontier language, coding, video, audio, image and music models all delivering top-tier performance. In August, we launched our flagship foundation model Qwen3.8-Max within three months of its prior version, and we opened its model weights with 2.4 trillion parameters. Qwen3.8-Max delivers comprehensive improvements across coding, real-world work, research, long-horizon tasks and multimodal agents, enabling it to complete complex tasks with greater reliability.

QwenWork

QwenWork is our flagship unified AI-native workforce agent. Through advanced AI models and agentic capabilities, QwenWork is designed to unlock productivity at the organizational level and drive operating efficiency. It also supports individual users with everyday workplace tasks. On distribution, QwenWork is deeply integrated with Alibaba Cloud and DingTalk's ecosystem, providing a natural gateway to Alibaba's extensive enterprise user base and established workplace workflows. Its reach is further extended through broad integration with third-party business workflows and productivity platforms.

	Three months ended June 30,		
(in RMB Mn, except percentages)	2025	2026	YoY %
Revenue	2,882	3,338	16%
Adj. EBITA	(3,224)	(13,861)	(330)%

Qwen App

Qwen app, our flagship consumer-facing AI application, is adding diverse value-added offerings to meet user demands. Qwen app deepens its integration with core services across our ecosystem, including Taobao and Tmall, and Taobao Instant Commerce, to further expand the customer reach of our e-commerce business and enable a wider range of agentic use cases. 250 million users have had their first AI-driven shopping experience through Qwen app's agentic features across an expanding range of e-commerce and other services since the launch of Qwen app. The integration also creates a flywheel across our AI and e-commerce businesses: broader AI adoption unlocks new growth opportunities, while feedback from real-world use cases enables us to enhance our models and user experiences.

Segment Revenue

- **Revenue from AI Labs and Applications** in the quarter ended June 30, 2026 was RMB3,338 million (US$492 million), an increase of 16% compared to RMB2,882 million in the same quarter of 2025.

Segment Adjusted EBITA

- **AI Labs and Applications adjusted EBITA** was a loss of RMB13,861 million (US$2,043 million) in the quarter ended June 30, 2026, compared to a loss of RMB3,224 million in the same quarter of 2025, primarily due to our increased investment in AI capabilities, and higher inference cost related to Qwen app.

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Issuer exhibit 4. June-quarter 2026 presentation, actual PDF page 12 (printed 10). User adoption and paid economics have different denominators. [S3]

Reported June-quarter metric	Amount / treatment
AI Labs and Applications revenue	RMB 3,338m
Segment adjusted EBITA	Loss of RMB 13,861m
Qwen first AI-shopping users	250m cumulative; not paying subscribers
Qwen model downloads	More than 3bn; not active paid customers
Model / application ARR	More than RMB 16bn in August; nested in services, not assigned wholesale to Labs

Management expects Labs losses to narrow as model training and Qwen marketing become more efficient. It has not supplied a near-term Labs break-even commitment. A forecast improvement therefore remains an operating assumption that must coexist with continuing inference, R&D and customer-acquisition costs. [S2 pp 8-9]

Accio Work's 50,000 paying cross-border merchants and the launch of QwenWork show routes into enterprise workflows. An incremental adoption model needs retention, realized pricing and the accounting destination of the revenue. Existing paid users and the published ARR trajectory are not added a second time. [S2 p 14]

Base score and distinct risks

Thesis quality is separate from individual event probabilities

Category	Score	Evidence
Core thesis	13/20	Cloud, proprietary silicon and commerce distribution are advantages, but Alibaba does not own an exclusive physical or regulatory chokepoint.
Cycle stage	8/10	External cloud and AI monetization are accelerating; mature commerce remains a different cycle.
TAM expansion	8/10	Agents expand compute, storage and software demand; company capture has an explicit probability and operating bridge.
Catalysts	4/5	Cloud realization, V900 commercialization and quick-commerce profitability provide dated checkpoints.
Macro	8/10	AI infrastructure demand is strong; Chinese consumption, trade friction and capital intensity offset some of that benefit.
Alpha	2/5	New segment transparency enables a measurable bridge, but the broad AI thesis is well recognized.
Risks	-5	Five distinct classes receive one scored deduction each, as detailed below.

Total 38/60 x 100 = 63.33; rounded analytical Base 63. The score is not multiplied into quarterly profit or the ceiling. Individual breadcrumb probabilities are applied once in the operating model.

Scored risk class	Transmission and monitoring
Funding / cash flow / dilution	Up-front capex, weak free cash flow and further equity issuance can reduce per-ADS outcomes.
Technology and supply	Domestic chip availability, process efficiency, memory, software compatibility and deployment delays can constrain growth or margins.
Competitive economics	Quick-commerce subsidies and cloud pricing competition can absorb revenue gains.
VIE, governance and geopolitics	Contractual control, jurisdictional remedies, export restrictions and procurement policy create risks beyond ordinary demand.
Regulatory / accounting complexity	Fines, intercompany elimination, subsidy presentation and shifting segment scope can obscure sustainable economics.

Alibaba disputes its June CMC designation and says it has no military-procurement business. The designation is not automatically a securities ban or a blanket prohibition on US revenue. The scope is tracked as governance/geopolitical risk, without inventing a numerical revenue loss. [S12]

Reference growth and product economics

Ten independently modeled vectors | AH-7 confidence: reported anchors HIGH; forecasts MEDIUM/LOW

Vector	June actual	June GM proxy	2027 growth	2028 growth	2029 growth	2030 growth	Source / confidence
Customer management	82,547	61.4%	3.0%	4.0%	4.0%	4.0%	S1-S3; LOW allocation
Direct sales/logistics/other	28,353	15.0%	-5.0%	0.0%	2.0%	2.0%	S1-S3; LOW allocation
China Quick Commerce	53,295	10.0%	30.0%	22.0%	16.0%	12.0%	S1-S3; LOW allocation
International E-commerce	27,761	30.0%	5.0%	8.0%	8.0%	7.0%	S1-S3; LOW allocation
Global Wholesale	13,906	70.0%	10.0%	10.0%	9.0%	8.0%	S1-S3; LOW allocation
AI Cloud and Compute	48,437	35.0%	45.0%	35.0%	28.0%	22.0%	S1-S5; MEDIUM, scope LOW
AI Labs and Applications	3,338	30.0%	80.0%	65.0%	50.0%	40.0%	S1-S3; LOW allocation
All Others	28,803	20.0%	3.0%	4.0%	4.0%	4.0%	S1-S3; LOW allocation
Unallocated	783	100.0%	0.0%	0.0%	0.0%	0.0%	S1-S3; LOW allocation
Inter-segment eliminations	-18,270	0.0%	Derived	Derived	Derived	Derived	S1-S3; LOW allocation

Growth rates are analyst model inputs, not issuer guidance. Forecast revenue begins with the June actual vector; near-term cloud uses prior-year old-scope comparables, adjusted by 33,418 / 33,398 as a transparent scope proxy. Cloud reference growth is 50%, 53% and 53% for the September, December and March forecast quarters; the company guides acceleration, not these exact percentages.

Non-cloud September/December/March seasonality uses prior-year consolidated revenue relative to June, except Labs uses a neutral seasonal factor. This is a LOW-confidence allocation because new-scope history is incomplete. Calendar Q1 = fiscal Q4; Q2 = next fiscal Q1; Q3 = next fiscal Q2; Q4 = next fiscal Q3. Quarter-end dates match exactly; no monthly interpolation is used.

Gross-profit rule	Implementation / limitation
June calibration	Product margins are undisclosed. The stated independent proxies sum to actual group GP; CMR is the residual needed to reconcile. These are not reported product margins.
Cloud	Reference GM improves 0.5 percentage points per quarter initially and 0.5 points per year thereafter; pricing, mix and scale already contribute.
Quick commerce	A separate modeled operating-loss anchor and full-cost recovery path implement the timing of management's profitability ambition; incremental B2 changes only speed.
International / Labs	International reference GM improves 0.5 points annually for three years; Labs 1.5 points annually for four years. Other vector margins are fixed unless separately specified.
Eliminations	Internal cloud share and other intersegment revenue are removed. Zero elimination GP is an allocation proxy, not evidence of zero internal cost.
External cloud proportion	AI product revenue 12,376 / rounded 35% / total cloud 48,437 = 73.00%. The resulting external share is an approximation, not an exactly reported total.

Expense calibration and annual cross-check

Functional allocations are analytical estimates; group amounts reconcile

June model allocation	Gross profit	R&D	S&M	G&A	Amort.	Other gain	Normalized OP
Ecommerce	78,359	3,993	32,266	4,474	477	0	37,149
Cloud	16,953	4,627	5,902	1,296	112	0	5,016
Labs	1,001	11,555	1,724	1,618	8	0	-13,903
Other	5,761	2,294	6,079	1,028	67	0	-3,707
Unallocated	783	60	1,048	135	2	289	-173
Eliminations	0	0	607	74	0	0	-681

June normalized segment OP allocates shared non-cash SBC and acquired amortization to the reported EBITA bridge. Functional R&D, selling/marketing and G&A are allocations constrained to the consolidated totals, not issuer segment disclosures. The historical RMB 289m other operating gain is preserved in the actual calibration and is zero in forecasts. Core-commerce and quick-commerce costs are modeled separately where the quick-recovery bridge applies.

Calendar year	Coverage	Revenue	Gross profit	Normalized OP	OP margin	External cloud	Reference OP
2026	H2 only	607,836	231,668	61,029	10.0%	92,009	60,660
2027	Calendar full year	1,309,426	500,273	148,120	11.3%	240,067	144,718
2028	Calendar full year	1,526,302	586,994	199,534	13.1%	341,950	192,803
2029	Calendar full year	1,760,411	685,740	254,930	14.5%	460,557	239,904
2030	Calendar full year	2,001,743	791,012	313,317	15.7%	589,769	286,618

2026 covers forecast H2 only; it is not a full-year forecast. All annual amounts sum the quarterly model. Cloud growth, margin progression, Labs expenses and commerce recovery make later profit particularly sensitive to operating leverage. Annual results are a long-range cross-check, not independent annual targets imposed on the quarterly ceilings.

Expense leverage: non-quick commerce R&D/S&M/G&A scale with revenue to exponents 0.80/0.90/0.60; cloud uses 0.85/0.85/0.65. Labs R&D is flat for the first four forecast quarters, then grows 8% annually; S&M falls 12% over that initial year, then grows 4%. Labs G&A grows 4% and amortization 3%. These are calibrated assumptions, not disclosed budgets; no future other-income windfall is assumed.

Probability ledger: priced uncertainty

All probabilities are subjective investment judgments, not reported facts

B1 | Joint cloud commercialization | 55%

Management describes further contract repricing and a US$ 100bn external-cloud revenue ambition by calendar 2030. The reference already includes announced pricing, the current AI run rate, acceleration and margin expansion. B1 therefore models only the remaining increment, not the entire cloud opportunity. The 2030 ambition is implemented as a full-calendar-year conditional revenue outcome. [S2,S7,S8]

Eligible renewal pricing = external reference revenue x 40% eligible share x 10% additional realization x a dated ramp. The alternative goal branch is the remaining uplift required to reach the full-calendar-2030 objective, phased in over time. For each quarter, the model uses the greater of the two uplifts, not their sum. V900, AI product annualization and MaaS ARR are not separate revenue additions.

Conditional incremental gross margin is 45%; R&D, S&M and G&A consume 15% of incremental revenue, leaving 30% incremental OP. These are analyst proxies for additional external billings, not the margin of the whole cloud segment. The 55% weight balances demonstrated commercial acceleration against pricing, capacity and long-range capture risk.

B2 | Earlier quick-commerce efficiency | 35%

The reference assumes June quick-commerce OP at negative 10% of quick revenue, allocated inside total commerce; no reported standalone OP is available. It reaches break-even in FY2029 Q1 and a 1% margin by FY2029 end. B2 pulls break-even forward by two quarters. Its temporary operating-cost benefit falls to zero when the reference catches up. The probability applies to faster execution, not current reported improvements. [S2,S10]

B2 savings are allocated across R&D, S&M and G&A with the calibrated commerce weights, excluding amortization. There is no extra GP saving, subsidy revenue add-back, separate marketing saving, 30% platform-GMV prize or new order revenue. Fulfillment productivity, order value and stable share raise confidence; renewed subsidies or delivery inflation lower it.

B3 | Additional cloud cost pressure | 30%

Server replacement costs and domestic-process efficiency remain constraints. B3 applies an extra 2-percentage-point gross-cost burden to reference cloud revenue, beyond pricing and mix already embedded there. It does not impose the same cost shock again on B1’s separately modeled increment. Operating expenses do not fall automatically under the adverse case. [S2,S4]

The cloud branches share demand, supply and commercialization risk. The model is an expected contribution bridge; it does not assert statistical independence or multiply branch probabilities together. Reduce favorable weights on weak realization or deployment; raise B3 on margin misses that cannot be explained by planned mix.

Numerical breadcrumb ledger

Conditional values precede probability; active values apply it once | RMB millions

Quarter	B1 conditional revenue	B1 active revenue	B2 conditional OP	B2 active OP	B3 conditional cost	B3 active cost	Net active OP
Q3 2026	0.0	0.0	1,437.0	503.0	1,195.4	358.6	144.3
Q4 2026	0.0	0.0	1,780.6	623.2	1,325.3	397.6	225.6
Q1 2027	1,210.0	665.5	1,639.9	574.0	1,274.5	382.4	391.3
Q2 2027	2,667.0	1,466.9	1,732.1	606.2	1,404.7	421.4	624.9
Q3 2027	4,936.7	2,715.2	1,868.1	653.8	1,733.4	520.0	948.4
Q4 2027	7,297.3	4,013.5	2,314.7	810.2	1,921.7	576.5	1,437.7
Q1 2028	8,167.2	4,492.0	1,000.3	350.1	1,720.6	516.2	1,181.5
Q2 2028	10,801.5	5,940.8	0.0	0.0	1,896.3	568.9	1,213.4
Q3 2028	15,550.7	8,552.9	0.0	0.0	2,340.1	702.0	1,863.9
Q4 2028	19,702.7	10,836.5	0.0	0.0	2,594.2	778.3	2,472.7
Q1 2029	18,817.3	10,349.5	0.0	0.0	2,202.4	660.7	2,444.1
Q2 2029	23,043.3	12,673.8	0.0	0.0	2,427.3	728.2	3,074.0
Q3 2029	31,279.2	17,203.5	0.0	0.0	2,995.3	898.6	4,262.5
Q4 2029	37,829.2	20,806.0	0.0	0.0	3,320.6	996.2	5,245.6
Q1 2030	33,160.3	18,238.1	0.0	0.0	2,686.9	806.1	4,665.4
Q2 2030	39,357.9	21,646.8	0.0	0.0	2,961.3	888.4	5,605.7
Q3 2030	52,037.2	28,620.5	0.0	0.0	3,654.2	1,096.3	7,489.9
Q4 2030	61,535.4	33,844.5	0.0	0.0	4,051.2	1,215.4	8,938.0

B1 probability 55%; B2 35%; B3 30%. Reference excludes all three increments. Active OP = reference OP + B1 active revenue x 30% + B2 active cost saving - B3 active cost. No probability is reapplied to Base or the final ceiling.

Active Q3 2027-Q2 2028 window	Reference OP	B1 OP	B2 OP	B3 cost	Active OP
RMB millions	166,458.77	5,148.46	1,814.12	2,181.59	171,239.76

BABA_Q_Model controls B29/F29/J29 feed breadcrumb arithmetic A269:P286, the active operating bridge A292:L309 and ceilings M8:M22. B1/B2 source groups are August/September 2026; B3 uses May/August cost evidence.

Main operating driver: paid external cloud

Our model | Reference, conditional commercialization and active path

External cloud revenue, after overlap controls

RMB billions

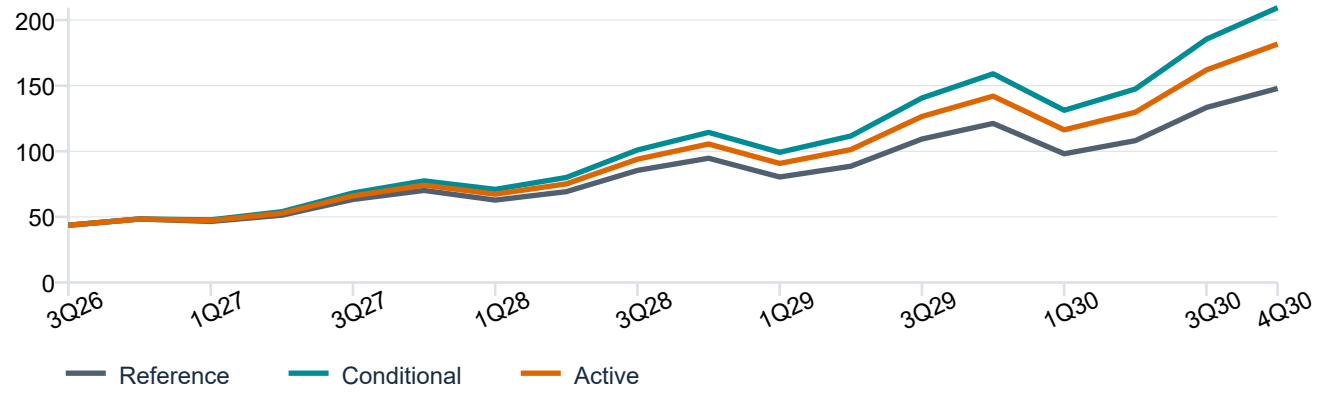


Figure 5. Our modeled external billings. Conditional adds the full B1 outcome; active applies its probability. Neither curve adds MaaS or AI product ARR again.

Quarter	Reference	Conditional	Active	Cloud OP	Quick OP
Q3 2026	43.63	43.63	43.63	6.67	-4.53
Q4 2026	48.37	48.37	48.37	8.01	-4.72
Q1 2027	46.52	47.73	47.19	8.12	-3.53
Q2 2027	51.27	53.94	52.74	9.80	-2.86
Q3 2027	63.27	68.21	65.99	13.20	-2.15
Q4 2027	70.14	77.44	74.16	15.43	-1.50
Q1 2028	62.80	70.97	67.30	13.83	-0.65
Q2 2028	69.22	80.02	75.16	16.01	0.00
Q3 2028	85.41	100.97	93.97	21.19	0.30
Q4 2028	94.69	114.40	105.53	24.54	0.75
Q1 2029	80.39	99.21	90.74	20.66	0.93
Q2 2029	88.60	111.64	101.27	23.73	1.31
Q3 2029	109.33	140.61	126.53	31.05	1.76
Q4 2029	121.21	159.04	142.01	35.74	2.62
Q1 2030	98.07	131.23	116.31	28.52	2.08
Q2 2030	108.09	147.45	129.74	32.59	2.20
Q3 2030	133.38	185.42	162.00	42.32	2.37
Q4 2030	147.87	209.41	181.72	48.49	2.94

RMB billions above. Calendar-2030 external cloud revenue: reference US$ 72.37bn, active US$ 87.57bn, conditional US$ 100.00bn. Whole-cloud normalized OP margin: active 19.7%; full B1 conditional 20.7%, retaining the 30% B3 cost stress. Management's >20% profit ambition is not explicitly GAAP OP.

Revenue growth and changing mix

Our model | Non-overlapping components reconcile to the active total

Quarterly revenue components and total

RMB billions

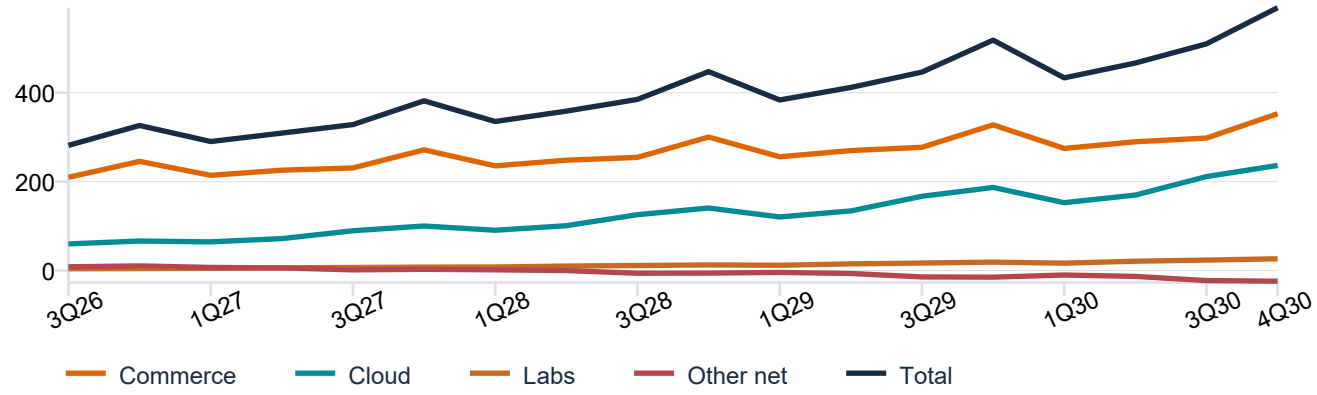


Figure 6. Our modeled revenue mix. Other net includes consolidation eliminations and can become negative as internal cloud activity grows; it is not a standalone loss.

Quarter	Commerce	Cloud	Labs	Other net	Total
Q3 2026	209.64	59.77	3.75	8.32	281.48
Q4 2026	245.58	66.26	4.22	10.29	326.35
Q1 2027	214.13	64.39	4.75	6.89	290.16
Q2 2027	225.69	71.70	6.01	5.79	309.18
Q3 2027	230.78	89.38	6.76	1.38	328.31
Q4 2027	271.50	100.10	7.60	2.58	381.78
Q1 2028	235.42	90.52	7.84	1.47	335.24
Q2 2028	248.19	100.76	9.91	-0.26	358.60
Q3 2028	254.51	125.56	11.15	-6.25	384.97
Q4 2028	300.28	140.55	12.54	-5.88	447.49
Q1 2029	255.90	120.47	11.75	-4.40	383.72
Q2 2029	269.83	134.04	14.87	-6.80	411.93
Q3 2029	277.22	166.97	16.72	-14.50	446.42
Q4 2029	327.71	186.84	18.81	-15.02	518.34
Q1 2030	274.68	152.58	16.45	-10.23	433.48
Q2 2030	289.67	169.71	20.82	-13.31	466.88
Q3 2030	298.00	211.33	23.41	-22.73	510.03
Q4 2030	352.75	236.40	26.33	-24.13	591.35

RMB billions. Every forecast row has Model status; none is a reported result. Product decomposition follows June reporting scope. A later negative other-net component means intersegment eliminations exceed the included other revenue; it does not mean reported sales are negative.

Profit and margin: operating leverage matters

Our model | Recurring costs retained; historical exceptional items separated

Quarterly normalized operating profit

RMB billions

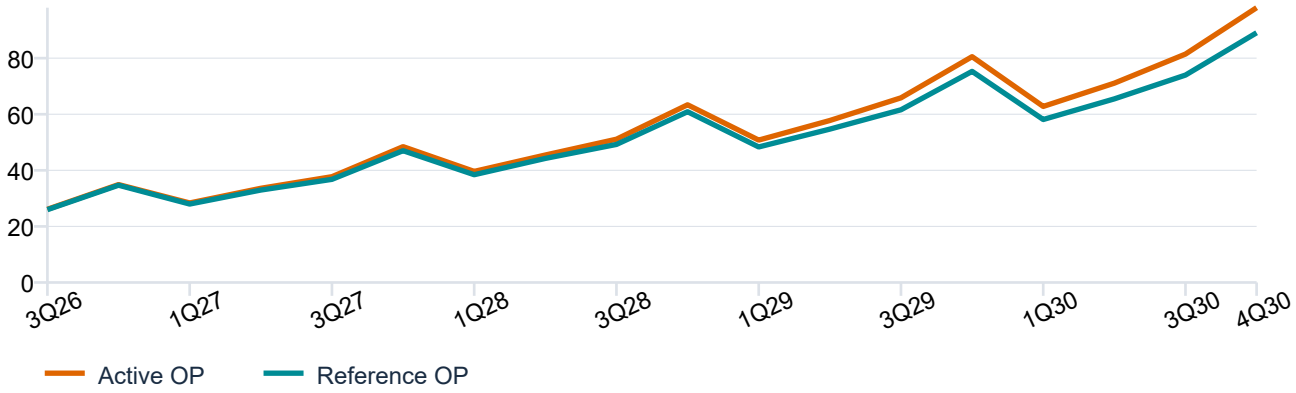


Figure 7. Our normalized OP, retaining SBC, ordinary depreciation and acquired amortization. Numerical gross and operating margins below expose the operating leverage assumption.

Quarter	Gross profit	GM	Active OP	OP margin	Reference OP
Q3 2026	107.63	38.2%	26.11	9.3%	25.97
Q4 2026	124.04	38.0%	34.92	10.7%	34.69
Q1 2027	110.27	38.0%	28.36	9.8%	27.97
Q2 2027	118.33	38.3%	33.59	10.9%	32.96
Q3 2027	126.22	38.4%	37.73	11.5%	36.78
Q4 2027	145.45	38.1%	48.44	12.7%	47.00
Q1 2028	128.23	38.2%	39.62	11.8%	38.43
Q2 2028	137.93	38.5%	45.46	12.7%	44.24
Q3 2028	149.13	38.7%	51.10	13.3%	49.23
Q4 2028	171.71	38.4%	63.37	14.2%	60.89
Q1 2029	148.43	38.7%	50.78	13.2%	48.34
Q2 2029	160.34	38.9%	57.77	14.0%	54.69
Q3 2029	175.35	39.3%	65.85	14.8%	61.59
Q4 2029	201.62	38.9%	80.53	15.5%	75.29
Q1 2030	170.19	39.3%	62.79	14.5%	58.12
Q2 2030	184.47	39.5%	71.08	15.2%	65.48
Q3 2030	203.33	39.9%	81.45	16.0%	73.96
Q4 2030	233.03	39.4%	97.99	16.6%	89.05

RMB billions for profit columns. Revenue x OP margin reproduces OP. Costs include the large ongoing Labs investment and modeled commerce recovery. Product gross margins and functional allocations are LOW-confidence proxies; reported consolidated GP and the June normalization provide the calibration.

Quarterly revenue by product vector

RMB millions | All values modeled | June reporting scope

Quarter	CMR	Direct	Quick	Intl.	Wholesale	Cloud	Labs	Other	Unalloc.	Elim.	Total
Q3 2026	82,595	27,632	57,481	27,777	14,151	59,772	3,754	28,963	783	-21,425	281,483
Q4 2026	94,943	30,937	71,222	31,930	16,545	66,264	4,222	33,458	901	-24,070	326,353
Q1 2027	81,123	25,747	65,596	27,282	14,377	64,391	4,749	28,730	769	-22,606	290,159
Q2 2027	85,023	26,935	69,284	29,149	15,297	71,701	6,008	29,667	783	-24,663	309,184
Q3 2027	85,073	26,250	74,725	29,166	15,567	89,384	6,758	29,832	783	-29,231	328,306
Q4 2027	97,792	29,391	92,589	33,526	18,199	100,097	7,600	34,462	901	-32,779	381,777
Q1 2028	84,368	25,747	80,028	29,465	15,815	90,522	7,835	29,879	769	-29,183	335,245
Q2 2028	88,424	26,935	84,526	31,481	16,826	100,756	9,914	30,854	783	-31,899	358,600
Q3 2028	88,475	26,250	91,164	31,499	17,123	125,556	11,150	31,025	783	-38,058	384,969
Q4 2028	101,703	29,391	112,959	36,209	20,019	140,549	12,540	35,840	901	-42,622	447,488
Q1 2029	87,743	26,262	92,832	31,822	17,239	120,468	11,753	31,074	769	-36,243	383,718
Q2 2029	91,961	27,474	98,050	33,999	18,341	134,038	14,871	32,088	783	-39,672	411,933
Q3 2029	92,014	26,775	105,750	34,019	18,664	166,968	16,725	32,266	783	-47,545	446,421
Q4 2029	105,772	29,978	131,032	39,105	21,821	186,838	18,810	37,274	901	-53,191	518,339
Q1 2030	91,252	26,787	103,972	34,049	18,618	152,583	16,454	32,317	769	-43,321	433,481
Q2 2030	95,640	28,024	109,816	36,379	19,808	169,711	20,819	33,371	783	-47,469	466,882
Q3 2030	95,695	27,311	118,440	36,400	20,157	211,333	23,415	33,556	783	-57,065	510,026
Q4 2030	110,002	30,578	146,756	41,843	23,566	236,403	26,334	38,765	901	-63,793	591,355

CMR = customer-management revenue. Direct = direct sales and other ecommerce revenue. Quick = quick commerce. Intl. = international commerce. Wholesale = China/international wholesale vector as classified by the release. Cloud = AI Cloud and Compute Services; Labs = AI Labs and Applications. The source workbook retains the full vector labels.

Each vector uses its own growth driver and gross-margin trajectory. B1 is external cloud only and requires no additional elimination. Other internal cloud revenues use the documented elimination proxy. Displayed values are rounded independently; formulas use full precision.

Quarterly gross profit by product vector

RMB millions | Estimated product economics; sum equals active consolidated GP

Quarter	CMR	Direct	Quick	Intl.	Wholesale	Cloud	Labs	Other	Unalloc.	Elim.	Total GP
Q3 2026	50,743	4,145	5,892	8,368	9,906	20,860	1,140	5,793	783	-0	107,630
Q4 2026	58,330	4,641	7,478	9,659	11,581	23,458	1,298	6,692	901	-0	124,037
Q1 2027	49,839	3,862	7,052	8,287	10,064	23,177	1,478	5,746	769	-0	110,275
Q2 2027	52,236	4,040	7,621	8,890	10,708	26,225	1,893	5,933	783	-0	118,329
Q3 2027	52,266	3,938	8,407	8,932	10,897	32,878	2,154	5,966	783	-0	126,220
Q4 2027	60,080	4,409	10,648	10,309	12,739	37,021	2,451	6,892	901	-0	145,450
Q1 2028	51,833	3,862	9,403	9,097	11,071	33,659	2,556	5,976	769	-0	128,226
Q2 2028	54,325	4,040	10,143	9,759	11,778	37,660	3,272	6,171	783	-0	137,931
Q3 2028	54,356	3,938	11,168	9,804	11,986	47,169	3,721	6,205	783	-0	149,131
Q4 2028	62,483	4,409	14,120	11,315	14,013	53,064	4,232	7,168	901	-0	171,706
Q1 2029	53,906	3,939	11,836	9,984	12,067	45,704	4,011	6,215	769	-0	148,432
Q2 2029	56,498	4,121	12,747	10,710	12,838	51,093	5,130	6,418	783	-0	160,338
Q3 2029	56,531	4,016	14,012	10,716	13,065	63,941	5,833	6,453	783	-0	175,350
Q4 2029	64,982	4,497	17,689	12,318	15,275	71,874	6,631	7,455	901	-0	201,621
Q1 2030	56,062	4,018	14,296	10,726	13,032	58,956	5,862	6,463	769	-0	170,185
Q2 2030	58,758	4,204	15,374	11,460	13,866	65,857	7,495	6,674	783	-0	184,470
Q3 2030	58,792	4,097	16,582	11,466	14,110	82,356	8,429	6,711	783	-0	203,326
Q4 2030	67,582	4,587	20,546	13,180	16,496	92,506	9,480	7,753	901	-0	233,031

Each reference GP = reference product revenue x its independent reference GM. Active Cloud GP adds B1 revenue x its incremental GM and deducts B3 cost. B2 leaves Quick GP unchanged and reduces allocated operating expenses. Other vectors are unchanged. Consolidated GP then deducts R&D, S&M, G&A and acquired amortization to produce normalized OP.

Product gross margins are not disclosed by Alibaba. The June anchor margins and forecast trajectory rules are explicit analytical allocations; no individual estimate should be cited as a reported company margin. Zero elimination GP is a simplifying allocation, not a claim that intercompany activity has no costs.

Complete quarterly operating model

All eighteen rows | RMB millions | ADS shares in millions

Calendar / fiscal quarter	Revenue	GP	R&D	S&M	G&A	Amort.	Normalized OP	OP margin	ADS shares
Q3 2026 / FY27Q2	281,483	107,630	23,421	48,609	8,817	670	26,113	9.3%	2,504.250
Q4 2026 / FY27Q3	326,353	124,037	24,457	54,542	9,428	694	34,916	10.7%	2,510.487
Q1 2027 / FY27Q4	290,159	110,275	23,757	48,565	8,913	676	28,363	9.8%	2,516.740
Q2 2027 / FY28Q1	309,184	118,329	24,431	50,480	9,153	677	33,589	10.9%	2,523.008
Q3 2027 / FY28Q2	328,306	126,220	25,979	52,367	9,465	680	37,729	11.5%	2,529.293
Q4 2027 / FY28Q3	381,777	145,450	27,488	58,700	10,120	702	48,439	12.7%	2,535.592
Q1 2028 / FY28Q4	335,245	128,226	26,459	52,003	9,475	675	39,615	11.8%	2,541.908
Q2 2028 / FY29Q1	358,600	137,931	27,573	54,451	9,777	673	45,456	12.7%	2,548.239
Q3 2028 / FY29Q2	384,969	149,131	29,632	57,472	10,246	684	51,097	13.3%	2,554.585
Q4 2028 / FY29Q3	447,488	171,706	31,513	65,052	11,061	714	63,365	14.2%	2,560.948
Q1 2029 / FY29Q4	383,718	148,432	29,765	56,963	10,234	688	50,781	13.2%	2,567.327
Q2 2029 / FY30Q1	411,933	160,338	31,142	60,103	10,630	696	57,767	14.0%	2,573.721
Q3 2029 / FY30Q2	446,421	175,350	33,700	63,886	11,206	707	65,851	14.8%	2,580.131
Q4 2029 / FY30Q3	518,339	201,621	35,922	72,301	12,124	742	80,531	15.5%	2,586.558
Q1 2030 / FY30Q4	433,481	170,185	33,248	62,378	11,062	711	62,786	14.5%	2,593.000
Q2 2030 / FY31Q1	466,882	184,470	34,895	66,214	11,554	724	71,084	15.2%	2,599.458
Q3 2030 / FY31Q2	510,026	203,326	37,982	70,894	12,258	737	81,454	16.0%	2,605.933
Q4 2030 / FY31Q3	591,355	233,031	40,582	80,367	13,311	779	97,992	16.6%	2,612.423

Normalized OP = GP - R&D - S&M - G&A - amortization. Cash and non-cash SBC remain inside these functional costs. Ordinary depreciation remains in the relevant operating cost lines. No repeated impairment or other-income assumptions finance the future margin path.

Share denominator = 2,504.250m ADS x (1 + 1%)^elapsed years. The anchor equals (19,324m June diluted ordinary shares + 710m completed placement shares) / 8. It is a forward full-placement denominator, not a claimed reported September weighted average. Net share growth is a proxy; no buyback benefit is assumed.

Quarterly ceilings and uncertainty

Our model | USD per ADS | Same method in active and control paths

20x forward-four-quarter normalized OP

USD / ADS

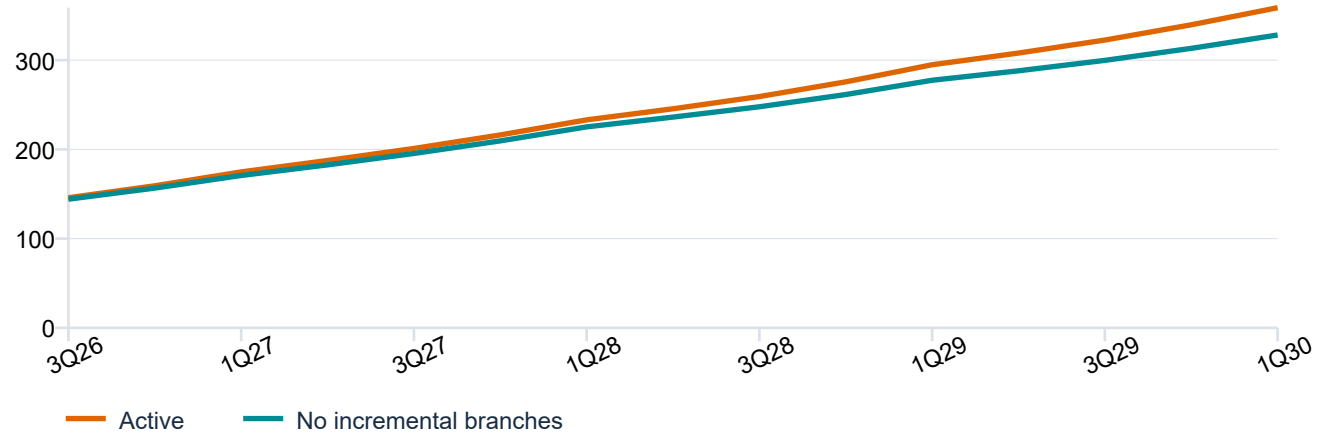


Figure 8. Our ceiling path. The control removes all favorable and adverse breadcrumbs together, holding reference assumptions, valuation basis, shares and FX fixed.

Ceiling quarter	Active ceiling	Control ceiling	Confidence
Q3 2026	145.83	144.19	MEDIUM
Q4 2026	159.21	156.62	MEDIUM
Q1 2027	174.77	170.75	MEDIUM
Q2 2027	187.58	182.64	MEDIUM
Q3 2027	201.04	195.43	MEDIUM
Q4 2027	216.20	209.53	MEDIUM
Q1 2028	233.10	225.24	LOW
Q2 2028	245.53	236.22	LOW
Q3 2028	259.23	247.78	LOW
Q4 2028	275.70	261.49	LOW
Q1 2029	294.87	277.49	LOW
Q2 2029	307.99	288.09	LOW
Q3 2029	322.55	299.78	LOW
Q4 2029	339.66	313.25	LOW
Q1 2030	358.81	328.24	LOW

The ceiling is a probability-weighted operating-model result, not a promised trading level or a broker price target. Later values rely increasingly on unproven capacity, customer capture, margins and capital allocation. All underlying quarterly profit, share and FX inputs appear in the next table.

All fifteen exact ceiling derivations

The selected new-company method is 20x normalized OP, not P/E, EBITDA, EV or SOTP

Ceiling quarter	Four underlying OP inputs (RMBm)	Forward 4Q OP	ADS shares (m)	FX RMB/USD	Ceiling USD/ADS
Q3 2026	26,113.1 + 34,916.3 + 28,363.3 + 33,588.7 | Q3 2026 - Q2 2027	122,981.43	2,504.250	6.7351	145.83
Q4 2026	34,916.3 + 28,363.3 + 33,588.7 + 37,728.6 | Q4 2026 - Q3 2027	134,596.91	2,510.487	6.7351	159.21
Q1 2027	28,363.3 + 33,588.7 + 37,728.6 + 48,439.3 | Q1 2027 - Q4 2027	148,119.91	2,516.740	6.7351	174.77
Q2 2027	33,588.7 + 37,728.6 + 48,439.3 + 39,615.4 | Q2 2027 - Q1 2028	159,371.98	2,523.008	6.7351	187.58
Q3 2027	37,728.6 + 48,439.3 + 39,615.4 + 45,456.5 | Q3 2027 - Q2 2028	171,239.76	2,529.293	6.7351	201.04
Q4 2027	48,439.3 + 39,615.4 + 45,456.5 + 51,097.1 | Q4 2027 - Q3 2028	184,608.25	2,535.592	6.7351	216.20
Q1 2028	39,615.4 + 45,456.5 + 51,097.1 + 63,365.4 | Q1 2028 - Q4 2028	199,534.32	2,541.908	6.7351	233.10
Q2 2028	45,456.5 + 51,097.1 + 63,365.4 + 50,781.1 | Q2 2028 - Q1 2029	210,700.09	2,548.239	6.7351	245.53
Q3 2028	51,097.1 + 63,365.4 + 50,781.1 + 57,766.8 | Q3 2028 - Q2 2029	223,010.39	2,554.585	6.7351	259.23
Q4 2028	63,365.4 + 50,781.1 + 57,766.8 + 65,850.7 | Q4 2028 - Q3 2029	237,763.98	2,560.948	6.7351	275.70
Q1 2029	50,781.1 + 57,766.8 + 65,850.7 + 80,531.5 | Q1 2029 - Q4 2029	254,930.08	2,567.327	6.7351	294.87
Q2 2029	57,766.8 + 65,850.7 + 80,531.5 + 62,786.5 | Q2 2029 - Q1 2030	266,935.43	2,573.721	6.7351	307.99
Q3 2029	65,850.7 + 80,531.5 + 62,786.5 + 71,084.3 | Q3 2029 - Q2 2030	280,252.92	2,580.131	6.7351	322.55
Q4 2029	80,531.5 + 62,786.5 + 71,084.3 + 81,454.2 | Q4 2029 - Q3 2030	295,856.41	2,586.558	6.7351	339.66
Q1 2030	62,786.5 + 71,084.3 + 81,454.2 + 97,992.1 | Q1 2030 - Q4 2030	313,316.99	2,593.000	6.7351	358.81

Ceiling = sum(normalized OP in Q through Q+3) x 20 / diluted ADS shares at Q / RMB per USD. Equivalently, divide by ordinary shares, then multiply by eight to obtain one ADS. The model converts the share basis once and currency once.

Active exact chain: 171,239.757105 x 20 / 2,529.292500 / 6.7351 = US$ 201.044175 per ADS. The four-quarter window is Q3 2027 - Q2 2028.

Cash, debt, Ant/investment value, equity-method income, interest and taxes are not separate adjustments to this operating-profit convention. This exposes its limitations without silently changing to an enterprise-value or sum-of-parts methodology. The chosen company-specific basis is locked after publication unless Tom authorizes a change.

Workbook custody: BABA_Q_Model output B8:N25 and ceilings M8:M22; active M12 links to Master Portfolio P130 and Quarterly Ceilings L133. New Base is Master E130. Ledger rows 681:710 record the three hypotheses; reported anchors are A502:N506. All existing portfolio Bases remain protected.

Capital, dilution and sensitivity

Capital structure and FX are separate from operating capture

Capital item	RMBm unless noted
June cash + short-term investments	297,567; restricted cash 42,585 excluded
Broader liquid-investment measure	474,505; includes assets beyond cash and short-term investments
Total debt / narrow net cash	266,530 / 31,037; broad net cash 207,975
Debt components	Bank 86,621, senior 115,716, convertible 54,905, exchangeable 9,288
August completed placement	710m ordinary / 88.75m ADS equivalents; net HK$ 79.785bn; 60% global compute, 40% hyperscale / Agentic Cloud infrastructure
Convertible treatment	June diluted shares already include applicable convertible exposure. No second full-principal share addition or assumed capped-call benefit.
2024 / 2025 convertible maturities	US$ 5bn at 0.5%: June 2031 maturity / June 2029 put. US$ 3.2bn at 0%: September 2032 maturity / September 2030 put.
Subsidiary / investment scope	Alibaba Health exchangeable exposure is not automatically new BABA shares. Ant and investment gains are outside operating profit; no SOTP add-on.
Funding limit	June capex RMB 67.7bn was unusually procurement-heavy. No unsupported forward cash balance or annualized capex is assumed.

Q3 2027 diagnostic	USD/ADS
Active case	201.04
No incremental breadcrumbs	195.43
Cloud joint outcome probability 0%	195.00
Cloud joint outcome probability 100%	205.99
Quick efficiency probability 0%	198.91
Quick efficiency probability 100%	205.00
Input-cost risk probability 0%	203.61
Input-cost risk probability 100%	195.07
Operating margin -2pp	168.08
Operating margin +2pp	234.01
Shares +5%	191.47
RMB/USD +5% (RMB weaker)	191.47
RMB/USD -5% (RMB stronger)	211.63
Initial quick OP allocation -5%	190.30
Initial quick OP allocation -15%	211.79

The RMB/USD sensitivity changes translation of the same operating-profit model. Initial quick-loss sensitivities reallocate a fixed June commerce cost pool: a deeper assumed initial quick loss leaves a more profitable non-quick business, so the later ceiling can rise. This is allocation uncertainty, not evidence that larger losses create value. Placement proceeds are subsequent and not added again to June cash. [S1,S6,S16-S18]

Evidence that changes the model next

6-18 month checkpoints and cross-book relationships

Checkpoint	Evidence that raises confidence	Evidence that lowers confidence
Next quarterly results	AI revenue annualization near US$ 10bn; cloud margin and external growth advance	Supply delivers late, pricing underperforms or growth relies on internal revenue
Calendar 2026 year-end	MaaS/model-app ARR progresses beyond RMB 30bn with recognized revenue conversion	Strong ARR but weak recognized revenue, retention or cash conversion
Q1 2027 silicon	V900 commercial launch and customer workloads match roadmap	Foundry, memory, power or software constraints delay monetization
Commerce through FY27-29	UE improves without renewed subsidies; full costs trend toward profitability	Order growth requires persistently increasing acquisition and delivery spending
Labs and funding	Losses narrow while paid use and gross profit rise	Training/inference outlays rise faster than monetization; further dilution
Quarterly capital review	Capacity, cash generation and financing remain consistent	Procurement commitments and capex outstrip plausible revenue conversion

Relationships within the existing universe

AMZN, MSFT and GOOGL share the cloud-and-agent demand opportunity while competing with Alibaba in some markets. NBIS provides a different route to scarce compute; Alibaba's own silicon changes its supplier exposure. NVDA and AMD participate in the wider compute ecosystem, but this research establishes no new purchase award for either. Memory, networking, optics and power demand can benefit from Alibaba's infrastructure build without earning the same revenue or margin as Alibaba.

What would break the thesis

Weak external monetization despite large capacity additions, structurally poor capital returns, repeated subsidies that prevent commerce profit recovery, sustained Labs losses without a paid-product path, or worsening access to technology and customers would weaken the case. Revise probabilities and operating inputs as evidence changes. Preserve the selected valuation methodology unless Tom authorizes a change.

Sources and model custody

Primary evidence | Cutoff: 30 September 2026

S1 | June 2026 results; new segments and reconciliation; August 20
https://www.sec.gov/Archives/edgar/data/1577552/000110465926099220/tm2623667d1_ex99-1.htm

S2 | June-quarter call; August 20; pp 8-18 economics and goals
https://data.alibabagroup.com/ecms-files/1567773279/9a0e4864-83fe-4a69-aa1e-e5c14f5b2e73/EN%20Jun%202026%20Q%20-%20Alibaba%20Earnings%20Call.pdf

S3 | June-quarter presentation; August 20; embedded cloud/Labs exhibits
https://data.alibabagroup.com/ecms-files/1567773279/a9d0a2f3-beca-402c-b3c1-526c2064d10f/June%20Quarter%202026%20Results.pdf

S4 | March-quarter call; May 13; cloud, cost and commerce evidence
https://data.alibabagroup.com/ecms-files/1508695866/9e0f30c9-651f-41f9-a269-90db4b7d0dd7/EN%20Mar%202026%20Q%20-%20Alibaba%20Earnings%20Call.pdf

S5 | March-quarter presentation; May 13
https://data.alibabagroup.com/ecms-files/1508664153/2299e3f4-f7dd-449c-a9cf-94fc7a393d6a/March%20Quarter%202026%20Results.pdf

S6 | FY2026 annual report; May 20; capital, VIE and accounting
https://www.hkexnews.hk/listedco/listconews/sehk/2026/0520/2026052001340.pdf

S7 | Apsara keynote September 22; official English publication September 23
https://www.alibabacloud.com/blog/603595

S8 | Apsara full-stack roadmap and global expansion; September 25
https://www.alibabacloud.com/blog/alibaba-clouds-2026-apsara-conference-full-stack-ai-roadmap-along-with-global-market-expansion-plan_603598

S9 | June-quarter prepared remarks; issuer corroboration
https://www.alibabacloud.com/blog/603490

S10 | JD second-quarter 2026 results; competitor spending evidence
https://ir.jd.com/news-releases/news-release-details/jdcom-announces-second-quarter-and-interim-2026-results

S11 | NBS August/Jan-Aug retail; September 15; original Chinese statistics
https://www.stats.gov.cn/sj/zxfb/202609/t20260915_1965311.html

S12 | Alibaba CMC response; June 9; scope attributed to issuer
https://www.sec.gov/Archives/edgar/data/1577552/000110465926071542/tm2617210d1_ex99-1.htm

S13 | March-quarter results; May 13
https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0513/2026051300653.pdf

S14 | December-quarter results; 2026 release
https://www.sec.gov/Archives/edgar/data/1577552/000110465926032060/tm269353d1_ex99-1.htm

S15 | September-quarter results; 2025 release
https://www.sec.gov/Archives/edgar/data/1577552/000110465925115949/tm2532163d1_ex99-1.htm

S16 | August placement terms
https://www.sec.gov/Archives/edgar/data/1577552/000119312526361715/baba-ex99_4.htm

S17 | August placement completion and share issuance
https://www.sec.gov/Archives/edgar/data/1577552/000119312526365894/baba-ex99_1.htm

S18 | SAFE official central parity; September 30
https://www.safe.gov.cn/AppStructured/hlw/RMBQuery.do?COLLCC=546877760

S19 | Quote retrieved September 30, 14:40 EDT; context only
https://stockanalysis.com/stocks/baba/

S20 | Official US designation notice; procurement-list context
https://public-inspection.federalregister.gov/2026-11571.pdf

Original Chinese cross-checks include the June and March transcripts and the September 22 Apsara issuer article. Four source exhibits are embedded beside their evidence. Four model charts have numerical tables directly beneath. No synthetic image is presented as an issuer exhibit.